

EQUITY RESEARCH · COMPANY DEEP DIVE

Cisco Systems, Inc. (CSCO.US)

BUY

Composite · Valuation: BUY
Blended Target: \$159.64
Implied upside: +40.3%

Technology · Communication Equipment
Large Cap (>\$200B) · Report Date: June 28, 2026
Latest financials: Q3 FY2025 · Model data as of 2026-06-28

Price (Jun): \$113.77

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$159.64 (+40.3% vs \$113.77); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

COMPOSITE INVESTMENT SIGNAL

Composite: BUY (score +0.64, confluence 100%) · TA: BULLISH · Quant: POSITIVE · FSA: Strong. Valuation + technical aligned bullish; solid financial statement profile.

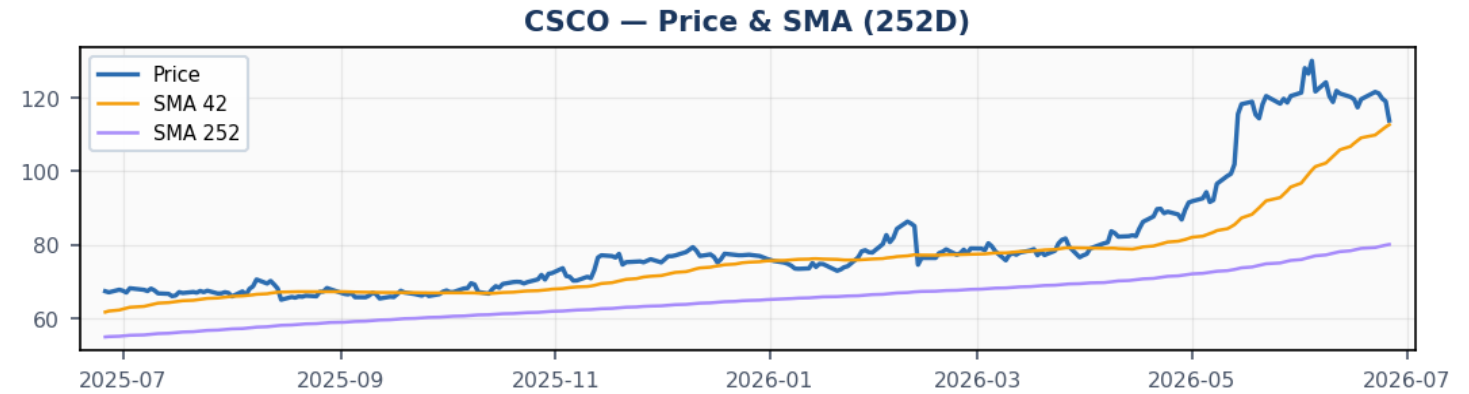
INVESTMENT THESIS / EXECUTIVE SUMMARY

Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies that help to power, secure, and draw insights from the internet in the Americas, Europe, the... **BUY** rating; blended target \$159.64. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$448.42B	Shares Out.	3941.4M
52-Week Range	\$65.75 – \$130.37	P/E (TTM)	37.9x
P/B	9.2x	Beta	1.00
Avg Volume	23.91M	Analyst Rec.	Buy
Revenue (TTM)	\$60.75B	Rev Growth	+12.0%
Op. Margin	25.0%	FCF (TTM)	\$13.29B

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	53,803	56,654	63,452	69,258	74,214
Revenue Growth (%)	N/A	5.3%	12.0%	9.1%	7.2%
Net Income (\$M)	10,320	10,180	11,402	12,445	13,335
Net Income Growth (%)	N/A	-1.4%	12.0%	9.1%	7.2%
Gross Margin (%)	64.7%	64.9%	64.3%	64.3%	64.3%
Net Margin (%)	19.2%	18.0%	18.0%	18.0%	18.0%
ROE (%)	22.7%	21.7%	24.3%	24.1%	24.6%
EPS (\$)	2.62	2.58	2.89	3.16	3.38
Book Value / Share (\$)	11.53	11.88	11.88	13.10	13.76
P/E (x)	43.45	44.05	39.33	36.03	33.63
P/B (x)	9.86	9.57	9.57	8.68	8.27
Dividend Yield (%)	1.5%	1.5%	1.5%	1.5%	1.5%

Page 2 of 3 · Cisco Systems, Inc. (CSCO) · Financial Statement · Technical · Quantitative · 2026-06-28

FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Strong (score +0.25). Strengths: Operating margin improving; Strong ROE 25.2%; FCF supports reported earnings. Risks: Current ratio 1.00x — liquidity pressure. 3Y projection: ~7.6% revenue growth; Y3 revenue \$75.67B.

Metric	Value	Assessment
FSA Health Score	+0.25	Strong
Revenue CAGR (3Y)	3.2%	
Net Income CAGR (3Y)	-4.8%	
Gross Margin Trend	Deteriorating	
Operating Margin Trend	Improving	
Current Ratio	1.00x	Liquidity
Debt / Equity	68%	Leverage
ROE	25.2%	Profitability
FCF / Net Income	1.31x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$65.36B / \$75.67B	@7.6%
Proj. Net Income (Y1 / Y3)	\$12.90B / \$14.94B	Margin × (1–tax)

TECHNICAL ANALYSIS (SMA 42/252)

Metric	Value	Notes
SMA (42d)	\$112.63	Short-term trend
SMA (252d)	\$80.11	Long-term trend
RSI (14d)	35.6	Momentum oscillator
Trend	Bullish	
Golden Cross (20d)	No	
Death Cross (20d)	No	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$112.63; SMA252=\$80.11

QUANTITATIVE ANALYSIS

Metric	Value	Notes
12m Momentum	+68.8%	
3m Momentum	+43.1%	
Ann. Volatility	25.0%	
Sharpe Ratio	0.64	Rf=4%
Max Drawdown	-36.7%	
Rel. Strength vs SPY	+65.4%	
Quant Score	+0.50	POSITIVE
SMA Backtest (ann.)	23.5%	B&H; 30.9%

Page 3 of 3 · Cisco Systems, Inc. (CSCO) · Valuation · Industry · Peers · Q3 FY2025

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$72.44	-36.3%	0% (excluded)	DCF diverges >55% below comparable-implied value
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median, trailing EPS)	\$161.92	+42.3%	—	Peer median P/E 54.0x
Comps — P/E (peer median, forward EPS)	\$257.81	+126.6%	—	Forward EPS × peer median P/E
Comps — 52-week range anchor	\$103.30	-9.2%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — EV/EBITDA (peer median)	\$167.75	+47.4%	—	Peer median 43.9x
Comps — P/S (peer median)	\$187.84	+65.1%	—	Peer median P/S 12.2x
Comps — Blended (median of multiples + uplift anchors)	\$167.75	+47.4%	80%	Included in blend
Analyst consensus (Yahoo Finance)	\$127.18	+11.8%	20%	Included in blend
Blended target (weighted)	\$159.64	+40.3%	100%	Comps 80% + Analyst 20%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	9.52%
Terminal g	4.00%
FCFE growth	6.00%
Base FCFE	\$13.29B
PV explicit (5Y)	\$63.10B
PV terminal	\$222.42B
Equity value (adj.)	\$285.52B
Implied price	\$72.44
vs. current	-36.3%

INDUSTRY ANALYSIS

1. Industry Overview

Cisco Systems, Inc. designs, develops, and sells technologies that help to power, secure, and draw insights from the internet in the Americas, Europe, the Middle East, Africa, the Asia Pacific, Japan, and China. The company offers data center switching; network security, identity and access management, and secure access service edge; threat intelligence, detection, and response solutions;...

2. Key Trends

- Moderate revenue expansion (12.0% YoY)
- Healthy operating margins (25.0%)
- Sector: Technology | Industry: Communication Equipment

3. Risk Factors

- Standard sector cyclicity and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ANET	Arista Networks, Inc.	\$198.45B	54.0x	43.9x	38.3%	+35.1%
MSI	Motorola Solutions, In	\$66.88B	32.5x	21.6x	17.6%	+7.4%
JNPR	JNPR	N/A	N/A	N/A	N/A	N/A
CIEN	Ciena Corporation	\$67.87B	158.8x	86.9x	7.9%	+39.5%
CSCO*	Cisco Systems, Inc.	\$448.42B	37.9x	27.3x	19.7%	+12.0%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.